Deutsche Bank
Research

Rating
Hold

North America
United States

Consumer
Consumer Staples

Company
The Coca-Cola Company

Reuters	Bloomberg	Exchange	Ticker
KO.N	KO US	NYS	KO

Date
23 October 2024

Forecast Change

Price at 23 Oct 2024 (USD)	68.01
Price target	68.00
52-week range	73.01 - 55.24

Global stability > localized volatility into 4Q24, but FX takes a bite out of FY25

Valuation & Risks

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Key takeaways from KO's 3Q24 results

As initially discussed this morning, KO delivered another strong quarter on EPS and organic growth, but the shares ultimately traded lower on softer UC volume performance in 3Q itself (attributed to transitory headwinds in certain EMs and alongside continued challenges in China/Middle East), a gross margin miss, and initial commentary on FY25 (i.e., -MSD FX headwinds, elevated interest expense, and inflationary pressures on agricultural commodities) that we expect will move consensus forecasts lower (as it has ours – mainly on FX).

On the plus side, KO did note sequential volume improvement throughout the September quarter, giving management confidence in returning to positive UC volume growth in 4Q (a credible positive). That said, the aforementioned FX headwind (by itself a -MSD impact on OI growth next year, net of hedged positions), input cost hurdles, and interest expense pressure will likely weigh on EPS growth into 2025—even as the company continues to execute against its RGM/productivity agenda as an offset.

Balancing these factors, we now see +6% OI growth (down from our prior forecast of +8%) as a realistic all-in objective for KO in FY25 (i.e., +LDDs in constant FX terms, and relative to KO's +6-8% long-term OI growth target), with our FY25 EPS slipping to $2.96 (+4% growth off an unchanged $2.85 estimate in FY24, factoring in also interest expense headwinds; down from $3.00, or +5% YOY growth). As such, our target price drifts one dollar lower to $68 (from $69), with our longer-term assumptions unchanged.

In FY4Q, we forecast organic growth of +8% on +1% all-in concentrate sales volumes (inclusive of two extra selling days) and +1% Unit Case Sales growth, leading to adjusted EPS of $0.52. We maintain our Hold rating.

Estimate changes and Valuation

For FY24, our EPS estimate of $2.85 is unchanged, but now embeds headline organic growth of roughly +10.5% (up from +9.9% and vs. company guidance of ~+10%), +135 bps of YOY gross margin expansion, and +90 bps of operating margin expansion. Our organic growth estimate is predicated on +0.8% headline CSE growth (Unit Cases +0.7%) and +9.7% price/mix. For FY25, we now model EPS of $2.96 (down from $3.00)

Key changes			
Price target	69.00 to 68.00	↓	-1.4%
Revenue (USDm)	45,926.7 to 46,374.5	↑	1.0%

Source: Deutsche Bank

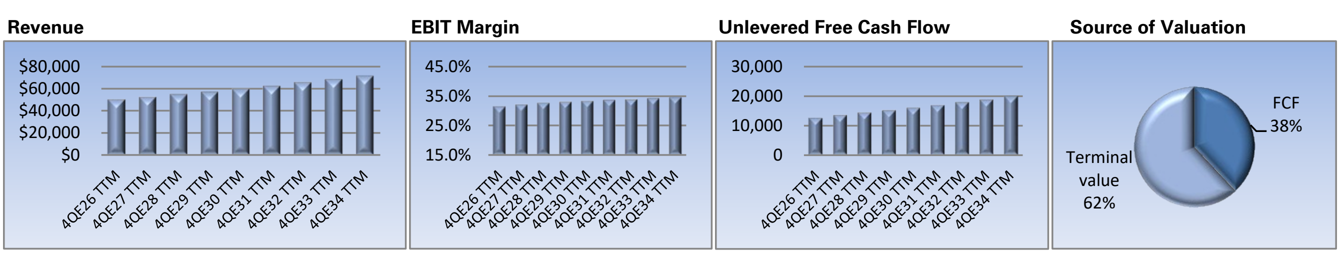
Our target price remains DCF-based, assuming roughly +4.5% normalized sales growth, +6% normalized EBIT growth, a 7.5% WACC, 1.75% terminal growth, and $7-$8 incremental value derived from KO's minority investments. Upside risks include: positive developments in macroeconomic trends, interest rates, credit conditions, and/or competitive activity in key markets; favorable decision on appeal or beneficial settlement of recent tax challenges; and weakening USD. Downside risks include: competitive activity, credit conditions within key markets, macro demand swings, instability of key customer and/or supplier relationships; adverse decision on appeal of recent tax challenge and/or more onerous go-forward penalties than anticipated; and/or a strengthening USD.

Figure 1: KO DCF Analysis

Terminal Value Growth Rate	1.8%
WACC	7.5%

Period	4QE24 TTM	4QE25 TTM	4QE26 TTM	4QE27 TTM	4QE28 TTM	4QE29 TTM	4QE30 TTM	4QE31 TTM	4QE32 TTM	4QE33 TTM	4QE34 TTM
Revenue	$46,375	$48,135	$50,387	$52,659	$55,143	$57,517	$60,127	$62,860	$65,962	$68,827	$71,977
Revenue Growth		3.8%	4.7%	4.5%	4.7%	4.3%	4.5%	4.5%	4.9%	4.3%	4.6%
Operating Margin	30.1%	30.8%	31.5%	32.1%	32.7%	33.1%	33.4%	33.7%	33.9%	34.3%	34.6%
EBIT	13,941	14,805	15,873	16,921	18,032	19,027	20,072	21,175	22,345	23,581	24,881
Tax Rate	18.8%	19.0%	22.0%	22.0%	22.0%	22.0%	22.0%	22.0%	22.0%	22.0%	22.0%
After-tax EBIT	11,314	11,992	12,381	13,198	14,065	14,841	15,656	16,517	17,429	18,393	19,408
+: D&A	1,071	1,588	1,890	2,264	2,371	2,473	2,585	2,703	2,836	2,960	3,095
-: Capital Expenditures	(2,186)	(2,407)	(2,267)	(2,370)	(2,481)	(2,588)	(2,706)	(2,829)	(2,968)	(3,097)	(3,239)
+/- : Changes in Working Capital	(8,657)	995	569	450	493	456	501	519	572	526	577
Unlevered Free Cash Flow	1,542	12,168	12,572	13,543	14,448	15,181	16,036	16,910	17,869	18,781	19,841
Terminal Value											351,100
Discounted Cash Flow		12,168	11,695	11,719	11,630	11,368	11,170	10,957	10,770	10,531	193,476

Discounted Cash Flow	295,485			EBITDA exit	**12.5x**
+ Equity Holdings	31,978			Sales CAGR	4.6%
-: Net Debt	34,718	13-24 mth EPS	$3.06	EBIT CAGR	5.9%
Implied Equity Value	292,745	**Implied 13-24 mth P/E**	22.2x	Margin growth	0.4%
Shares Outstanding	4,312	**13-24 mth EV/EBITDA**	16.6x		
Implied Share Price	**$68**				



Source : Deutsche Bank estimates and analysis

Financial Models

Figure 2: KO quarterly income statement

		2023					2024E					2025E					
INCOME STATEMENT	FY22	1Q	2Q	3Q	4Q	FY23	1Q	2Q	3Q	4QE	FY24E	1QE	2QE	3QE	4QE	FY25E	FY26E
Net Sales	43,046	10,959	11,966	11,911	10,948	45,784	11,231	12,313	11,949	10,882	46,375	11,526	12,687	12,594	11,328	48,135	50,387
Cost of Goods Sold	17,817	4,282	4,859	4,707	4,617	18,465	4,237	4,749	4,642	4,458	18,086	4,366	4,874	4,867	4,585	18,692	19,425
Gross Profit	25,229	6,677	7,107	7,204	6,331	27,319	6,994	7,564	7,307	6,423	28,288	7,160	7,813	7,726	6,743	29,443	30,962
Gross margin	58.6%	60.9%	59.4%	60.5%	57.8%	59.7%	62.3%	61.4%	61.2%	59.0%	61.0%	62.1%	61.6%	61.4%	59.5%	61.2%	61.4%
GM chg. in bps	-153 bps	123 bps	39 bps	131 bps	138 bps	106 bps	135 bps	204 bps	67 bps	120 bps	133 bps	-15 bps	15 bps	20 bps	50 bps	17 bps	28 bps
selling and distribution	2,767	654	682	694	569	2,599	621	609	550	514	2,294	556	643	588	528	2,315	2,405
selling & distribution as % of bottl	35.1%	33.6%	33.4%	37.3%	28.3%	33.1%	34.2%	39.6%	41.8%	34.8%	37.3%	33.9%	39.2%	41.5%	34.0%	37.1%	36.7%
s&d % of bottling sales chg	-67 bps	156 bps	45 bps	581 bps	-1533 bps	-200 bps	57 bps	617 bps	446 bps	650 bps	423 bps	-25 bps	-35 bps	-25 bps	-75 bps	-23 bps	-40 bps
advertising	4,319	1,065	1,219	1,526	1,200	5,010	1,161	1,400	1,650	1,274	5,485	1,191	1,398	1,714	1,304	5,607	5,862
advertising as a % of sales	10.0%	9.7%	10.2%	12.8%	11.0%	10.9%	10.3%	11.4%	13.8%	11.7%	11.8%	10.3%	11.0%	13.6%	11.5%	11.6%	11.6%
advertising ratio chg in bps	-57 bps	39 bps	-15 bps	-32 bps	390 bps	91 bps	62 bps	118 bps	100 bps	75 bps	89 bps	0 bps	-35 bps	-20 bps	-20 bps	-18 bps	-2 bps
stock-based comp	356	58	62	57	77	254	68	72	67	77	284	70	68	71	80	288	301
stock-based comp as a % of sale	0.8%	0.5%	0.5%	0.5%	0.7%	0.6%	0.6%	0.6%	0.6%	0.7%	0.6%	0.6%	0.5%	0.6%	0.7%	0.6%	0.6%
stock-based comp chg in bps	-4 bps	-30 bps	-38 bps	-28 bps	-11 bps	-27 bps	8 bps	7 bps	8 bps	0 bps	6 bps	0 bps	-5 bps	0 bps	0 bps	-1 bps	0 bps
other G&A	5,442	1,412	1,364	1,391	1,942	6,109	1,501	1,446	1,369	1,968	6,284	1,529	1,477	1,418	2,004	6,428	6,521
other G&A as a % of sales	12.6%	12.9%	11.4%	11.7%	17.7%	13.3%	13.4%	11.7%	11.5%	18.1%	13.6%	13.3%	11.6%	11.3%	17.7%	13.4%	12.9%
other G&A ratio chg in bps	-63 bps	103 bps	36 bps	99 bps	40 bps	70 bps	48 bps	34 bps	-22 bps	35 bps	21 bps	-10 bps	-10 bps	-20 bps	-40 bps	-20 bps	-41 bps
Adjusted Operating Profit	12,345	3,488	3,780	3,536	2,543	13,347	3,643	4,037	3,671	2,590	13,941	3,814	4,227	3,937	2,828	14,805	15,873
Operating Margin	28.7%	31.8%	31.6%	29.7%	23.2%	29.2%	32.4%	32.8%	30.7%	23.8%	30.1%	33.1%	33.3%	31.3%	25.0%	30.8%	31.5%
OM chg. in bps	-6 bps	39 bps	93 bps	19 bps	47 bps	47 bps	61 bps	120 bps	104 bps	57 bps	91 bps	65 bps	53 bps	54 bps	116 bps	70 bps	75 bps
Interest Income	(449)	(168)	(224)	(248)	(267)	(907)	(246)	(275)	(263)	(272)	(1,056)	(250)	(173)	(186)	(256)	(865)	(810)
Interest Inc. as % of Cash Eq.	3.9%	5.8%	6.3%	6.3%	6.9%	6.6%	7.2%	8.1%	5.5%	6.0%	6.3%	6.0%	5.8%	5.8%	5.8%	5.6%	4.6%
Interest expense	906	378	380	375	419	1,552	388	424	431	428	1,671	446	452	452	452	1,804	1,822
Interest Exp. as % of Gross Debt	2.3%	3.6%	3.7%	3.7%	4.0%	3.7%	3.6%	3.9%	3.7%	3.7%	3.5%	3.7%	3.6%	3.6%	3.6%	3.6%	3.6%
Equity (income) loss	(1,506)	(357)	(540)	(565)	(388)	(1,850)	(379)	(561)	(537)	(354)	(1,831)	(382)	(537)	(521)	(372)	(1,813)	(1,903)
Other (income) loss	17	(58)	27	50	119	138	19	(3)	(64)	5	(43)	(25)	(25)	(25)	(25)	(100)	(100)
Adjusted pretax income	13,377	3,693	4,137	3,924	2,660	14,414	3,861	4,452	4,104	2,783	15,200	4,024	4,509	4,216	3,029	15,779	16,864
Adj. Pretax Margin	31.1%	33.7%	34.6%	32.9%	24.3%	31.5%	34.4%	36.2%	34.3%	25.6%	32.8%	34.9%	35.5%	33.5%	26.7%	32.8%	33.5%
Adjusted Taxes	2,545	748	760	723	506	2,737	734	846	755	529	2,864	765	857	801	575	2,998	3,710
Effective tax rate	19.0%	20.3%	18.4%	18.4%	19.0%	19.0%	19.0%	19.0%	18.4%	19.0%	18.8%	19.0%	19.0%	19.0%	19.0%	19.0%	22.0%
Adjusted Noncontrolling Interest	29	6	(9)	(4)	13	6	8	(10)	2	14	14	8	(11)	2	14	14	15
Net Income	10,803	2,939	3,386	3,205	2,141	11,671	3,119	3,616	3,347	2,241	12,323	3,251	3,663	3,413	2,439	12,766	13,139
Net Margin	25.1%	26.8%	28.3%	26.9%	19.6%	25.5%	27.8%	29.4%	28.0%	20.6%	26.6%	28.2%	28.9%	27.1%	21.5%	26.5%	26.1%
CORE EPS																	
Diluted shares	4,351	4,345	4,341	4,339	4,330	4,339	4,322	4,319	4,323	4,322	4,321	4,319	4,313	4,314	4,312	4,314	4,293
Diluted EPS - CORE	$2.48	$0.68	$0.78	$0.74	$0.49	$2.69	$0.72	$0.84	$0.77	$0.52	$2.85	$0.75	$0.85	$0.79	$0.57	$2.96	$3.06
Dividends	$1.76	$0.46	$0.46	$0.46	$0.46	$1.84	$0.49	$0.49	$0.49	$0.49	$1.94	$0.50	$0.50	$0.50	$0.50	$2.00	$2.12
AS REPORTED																	
Diluted EPS	$2.19	$0.72	$0.59	$0.71	$0.46	$2.47	$0.74	$0.56	$0.66	$0.52	$2.47	$0.75	$0.85	$0.79	$0.57	$2.96	$3.06
EBITDA																	
EBIT	12,345	3,488	3,780	3,536	2,543	13,347	3,643	4,037	3,671	2,590	13,941	3,814	4,227	3,937	2,828	14,805	15,873
+D&A	1,260	286	281	290	271	1,128	262	269	268	272	1,071	380	419	416	374	1,588	1,890
EBITDA	13,605	3,774	4,061	3,826	2,814	14,475	3,905	4,306	3,939	2,862	15,012	4,194	4,646	4,352	3,201	16,393	17,763
GROWTH STATISTICS																	
Total Net Sales	11.4%	4.4%	5.9%	7.8%	7.4%	6.4%	2.5%	2.9%	0.3%	-0.6%	1.3%	2.6%	3.0%	5.4%	4.1%	3.8%	4.7%
Gross profit	8.5%	6.5%	6.6%	10.2%	10.0%	8.3%	4.7%	6.4%	1.4%	1.5%	3.5%	2.4%	3.3%	5.7%	5.0%	4.1%	5.2%
selling and distribution	7.5%	-0.2%	-0.4%	23.3%	-34.1%	-6.1%	-5.0%	-10.7%	-20.7%	-9.6%	-11.7%	-10.4%	5.6%	6.9%	2.7%	0.9%	3.9%
advertising	5.4%	8.7%	4.4%	5.2%	66.7%	16.0%	9.0%	14.8%	8.1%	6.2%	9.5%	2.6%	-0.1%	3.9%	2.3%	2.2%	4.5%
stock-based comp	5.6%	-33.3%	-39.2%	-32.1%	-7.2%	-28.7%	17.2%	16.1%	17.5%	-0.6%	11.6%	2.6%	-5.8%	5.4%	4.1%	1.5%	4.5%
SG&A expenses	6.1%	13.4%	9.3%	17.8%	9.8%	12.3%	6.3%	6.0%	-1.6%	1.4%	2.9%	1.9%	2.2%	3.6%	1.8%	2.3%	1.5%
Operating profit	11.1%	5.6%	9.1%	8.5%	9.6%	8.1%	4.4%	6.8%	3.8%	1.8%	4.4%	4.7%	4.7%	7.2%	9.2%	6.2%	7.2%
GAAP Pretax income	-5.9%	17.2%	26.1%	2.7%	-0.3%	10.9%	-4.5%	5.1%	-4.4%	11.7%	0.8%	3.9%	48.9%	24.7%	8.8%	20.8%	6.9%
Pretax income	7.6%	5.9%	8.9%	7.1%	9.6%	7.8%	4.5%	7.6%	4.6%	4.6%	5.5%	4.2%	1.3%	2.7%	8.8%	3.8%	6.9%
Net income	7.1%	5.2%	10.5%	6.6%	10.5%	8.0%	6.1%	6.8%	4.4%	4.7%	5.6%	4.2%	1.3%	2.0%	8.8%	3.6%	2.9%
GAAP EPS	-2.6%	12.0%	34.1%	9.5%	-1.9%	12.7%	2.8%	-4.9%	-7.4%	13.2%	0.0%	2.4%	52.1%	20.1%	9.1%	19.8%	3.4%
Comparable EPS	6.8%	5.4%	10.8%	6.8%	11.0%	8.3%	6.7%	7.3%	4.8%	4.9%	6.0%	4.3%	1.4%	2.2%	9.1%	3.8%	3.4%

Source : Company filings, Deutsche Bank estimates and analysis

Figure 3: KO quarterly balance sheet and cash flow statement

		2023					2024E					2025E					
Balance Sheet	**FY22**	**1Q**	**2Q**	**3Q**	**4Q**	**FY23**	**1Q**	**2Q**	**3Q**	**4QE**	**FY24E**	**1QE**	**2QE**	**3QE**	**4QE**	**FY25E**	**FY26E**
Cash & equivalents	9,519	12,004	12,564	11,883	9,366	9,366	10,443	13,708	13,938	12,432	12,432	7,673	8,615	13,455	11,320	11,320	13,512
Short term investments	2,112	2,291	3,130	3,552	4,297	4,297	6,476	5,285	4,226	4,226	4,226	4,226	4,226	4,226	4,226	4,226	4,226
Trade receivables	3,487	4,599	3,970	3,495	3,410	3,410	4,244	4,545	4,233	3,557	3,557	3,836	4,866	4,347	3,561	3,561	3,589
Inventories	4,233	4,727	4,646	4,252	4,424	4,424	4,961	4,763	4,714	4,411	4,411	4,906	5,033	4,797	4,559	4,559	4,738
Prepaid and other	3,240	3,259	3,281	4,685	5,235	5,235	3,338	3,298	3,177	3,200	3,200	3,366	3,327	3,246	3,305	3,305	3,442
Current assets	**22,591**	**26,880**	**27,591**	**27,867**	**26,732**	**26,732**	**29,462**	**31,599**	**30,288**	**27,827**	**27,827**	**24,007**	**26,067**	**30,071**	**26,970**	**26,970**	**29,507**
Equity method investments	18,264	18,744	19,262	19,256	19,671	19,671	19,495	18,940	18,993	18,993	18,993	18,993	18,993	18,993	18,993	18,993	18,993
Bottling investments	501	337	158	104	118	118	147	167	44	44	44	44	44	44	44	44	44
Other non-current assets	7,935	8,020	8,253	8,606	8,723	8,723	8,748	8,683	14,332	14,189	14,189	14,189	14,189	14,189	14,189	14,189	14,189
Net p,p&e	9,841	9,848	9,706	8,860	9,236	9,236	9,306	9,508	9,864	10,517	10,517	14,636	15,086	14,850	15,043	15,043	14,246
Trademarks	14,214	14,283	14,369	14,213	14,349	14,349	13,532	13,510	13,598	13,598	13,598	13,598	13,598	13,598	13,598	13,598	13,598
Bottlers' franchise rights	103	103	103	103	103	103	103	103	103	103	103	103	103	103	103	103	103
Goodwill	18,782	18,678	18,545	18,144	18,358	18,358	18,210	18,324	18,686	18,686	18,686	18,686	18,686	18,686	18,686	18,686	18,686
Other intangibles	532	511	469	425	413	413	389	368	358	358	358	358	358	358	358	358	358
Total assets	**92,763**	**97,404**	**98,456**	**97,578**	**97,703**	**97,703**	**99,392**	**101,202**	**106,266**	**104,314**	**104,314**	**104,613**	**107,124**	**110,892**	**107,984**	**107,984**	**109,724**
Payables and accrued exp.	15,749	15,593	16,483	16,837	15,485	15,485	19,425	21,909	23,820	22,051	22,051	19,962	21,397	24,238	23,301	23,301	24,214
Loans and notes payable	2,373	5,455	4,828	3,915	4,557	4,557	6,054	3,793	2,203	2,203	2,203	2,203	2,203	2,203	2,203	2,203	2,203
Short term debt	399	811	1,171	2,080	1,960	1,960	1,392	1,939	1,067	1,067	1,067	1,067	1,067	1,067	1,067	1,067	1,067
Accrued taxes and other	1,203	1,498	1,633	1,577	1,569	1,569	1,485	1,622	1,479	1,479	1,479	1,479	1,479	1,479	1,479	1,479	1,479
Current liabilities	**19,724**	**23,357**	**24,115**	**24,409**	**23,571**	**23,571**	**28,356**	**29,263**	**28,569**	**26,800**	**26,800**	**24,711**	**26,146**	**28,987**	**28,050**	**28,050**	**28,963**
Long-term debt	36,377	36,134	35,626	34,176	35,547	35,547	35,104	38,085	42,994	44,994	44,994	46,994	46,994	46,994	46,994	46,994	46,994
Other non-current liabilities	7,922	7,874	8,449	8,427	8,466	8,466	5,465	4,077	4,257	4,257	4,257	4,257	4,257	4,257	4,257	4,257	4,257
Deferred taxes	2,914	3,171	2,714	2,733	2,639	2,639	2,521	2,366	2,292	2,431	2,431	2,425	2,262	2,183	2,330	2,330	2,458
Total liabilities	**66,937**	**70,536**	**70,904**	**69,745**	**70,223**	**70,223**	**71,446**	**73,791**	**78,112**	**78,481**	**78,481**	**78,387**	**79,658**	**82,422**	**81,631**	**81,631**	**82,672**
Shareholders' equity	25,826	26,868	27,552	27,833	27,480	27,480	27,946	27,411	28,154	25,833	25,833	26,226	27,465	28,470	26,353	26,353	27,051
Total L and SE	**92,763**	**97,404**	**98,456**	**97,578**	**97,703**	**97,703**	**99,392**	**101,202**	**106,266**	**104,314**	**104,314**	**104,613**	**107,124**	**110,892**	**107,984**	**107,984**	**109,724**
Balance Sheet & Cash Flo																	
Days Receivable	**29.6**	**38.6**	**32.8**	**28.3**	**27.2**	**27.2**	**33.6**	**35.8**	**33.3**	**28.0**	**28.0**	**30.0**	**37.8**	**33.3**	**27.0**	**27.0**	**26.0**
Inventory days	**86.7**	**96.6**	**93.7**	**84.9**	**87.4**	**87.4**	**98.3**	**94.9**	**94.3**	**89.0**	**89.0**	**98.3**	**100.2**	**94.3**	**89.0**	**89.0**	**89.0**
Days Payable	**322.6**	**318.6**	**332.6**	**336.0**	**306.1**	**306.1**	**384.9**	**436.7**	**476.5**	**445.0**	**445.0**	**400.0**	**425.8**	**476.5**	**455.0**	**455.0**	**455.0**
Cap Ex / Sales	3.4%	2.5%	2.8%	3.2%	7.8%	4.0%	3.3%	3.4%	3.9%	8.5%	4.7%	5.0%	5.0%	5.0%	5.0%	5.0%	4.5%
D&A / Sales	2.9%	2.6%	2.3%	2.4%	2.5%	2.5%	2.3%	2.2%	2.2%	2.5%	2.3%	3.3%	3.3%	3.3%	3.3%	3.3%	3.8%
Gross Debt/EBITDA	2.9x	3.1x	3.0x	2.8x	2.9x	2.9x	2.9x	3.0x	3.1x	3.2x	3.2x	3.3x	3.2x	3.1x	3.1x	3.1x	2.8x
Net Debt/EBITDA	2.0x	2.0x	1.8x	1.7x	2.0x	2.0x	1.8x	1.7x	1.9x	2.1x	2.1x	2.5x	2.4x	2.0x	2.1x	2.1x	1.8x
Summary cash flow statement																	
Net Income	**9,571**	**3,113**	**2,521**	**3,083**	**1,997**	**10,714**	**3,185**	**2,401**	**2,850**	**2,255**	**10,691**	**3,260**	**3,653**	**3,415**	**2,453**	**12,781**	**13,154**
+: D&A	1,260	286	281	290	271	1,128	262	269	268	272	1,071	380	419	416	374	1,588	1,890
+ / -: Chg. working capital	(605)	(2,877)	1,121	887	23	(846)	(2,845)	(139)	(4,859)	(814)	(8,657)	(3,027)	317	3,677	28	995	569
+ / - Other Operating C.F.	792	(362)	546	40	379	603	(74)	1,054	482	282	1,744	(6)	(164)	(78)	146	(101)	128
Operating Cash Flow	**11,018**	**160**	**4,469**	**4,300**	**2,670**	**11,599**	**528**	**3,585**	**(1,259)**	**1,995**	**4,849**	**(3,316)**	**3,990**	**7,880**	**3,001**	**11,555**	**16,916**
-: Cap Ex	1,484	276	339	386	851	1,852	370	422	469	925	2,186	576	634	630	566	2,407	2,267
Free Cash Flow	**9,534**	**(116)**	**4,130**	**3,914**	**1,819**	**9,747**	**158**	**3,163**	**(1,728)**	**1,070**	**2,663**	**(3,892)**	**3,356**	**7,250**	**2,435**	**9,148**	**14,648**
-: Dividends	7,616	101	1,988	1,989	3,874	7,952	99	2,085	2,090	4,193	8,467	0	2,157	2,155	4,309	8,621	9,093
Free Cash Flow after divid	**1,918**	**(217)**	**2,142**	**1,925**	**(2,055)**	**1,795**	**59**	**1,078**	**(3,818)**	**(3,123)**	**(5,804)**	**(3,892)**	**1,198**	**5,096**	**(1,875)**	**527**	**5,556**
Financing (debt)	(958)	2,900	(628)	(1,053)	638	1,857	919	1,179	1,275	2,000	5,373	2,000	0	0	0	2,000	0
Share repurchase	(581)	(619)	(106)	(44)	(981)	(1,750)	(412)	(25)	(74)	(383)	(894)	(251)	(256)	(256)	(261)	(1,024)	(3,363)
Acq/divestitures	460	320	(5)	13	114	442	2,899	4	445	0	3,348	0	0	0	0	0	0
Other investing activities	1,726	94	(560)	(1,284)	(115)	(1,865)	(2,199)	1,085	1,841	0	727	0	0	0	0	0	0
FX / Other	(2,830)	7	(283)	(238)	(118)	(632)	(189)	(56)	561	0	316	(2,615)	0	0	0	(2,615)	0
Change in Cash	**(265)**	**2,485**	**560**	**(681)**	**(2,517)**	**(153)**	**1,077**	**3,265**	**230**	**(1,506)**	**3,066**	**(4,759)**	**942**	**4,840**	**(2,136)**	**(1,112)**	**2,193**
Cash - End of Period	**9,419**	**12,004**	**12,564**	**11,883**	**9,366**	**9,266**	**10,443**	**13,708**	**13,938**	**12,432**	**12,332**	**7,673**	**8,615**	**13,455**	**11,320**	**11,220**	**13,412**

Source : Company filings, Deutsche Bank estimates and analysis

Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist

Company	Ticker	Recent price*	Disclosure
The Coca-Cola Company	KO.N	69.45 (USD) 22 Oct 2024	1, 2, 7, 14, 15, 24, 26

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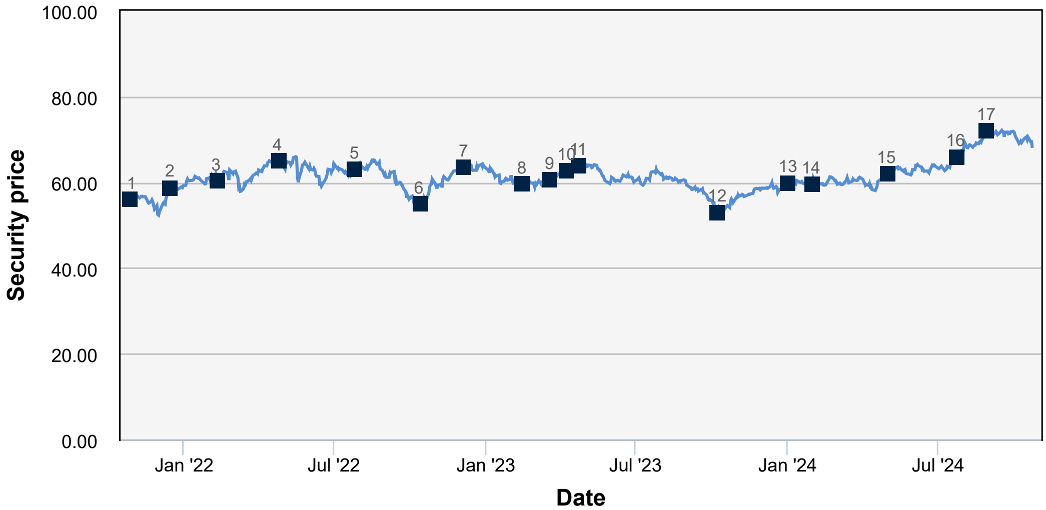
Historical recommendations and target price: The Coca-Cola Company (KO.N)

(as of 10/23/2024)

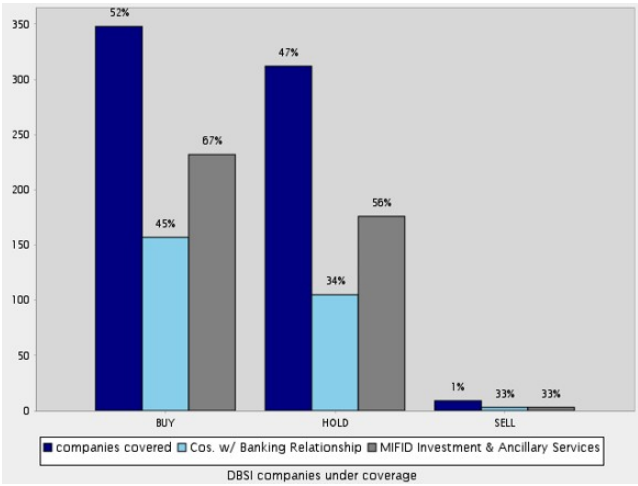


Current Recommendations
- Buy
- Hold
- Sell
- Not Rated
- Suspended Rating

** Analyst is no longer at Deutsche Bank

1. 10/28/2021 Hold, Target Price Change USD 60.00, Current Price USD 56.04 Stephen Powers
2. 12/16/2021 Hold, Target Price Change USD 61.00, Current Price USD 58.65 Stephen Powers
3. 02/11/2022 Hold, Target Price Change USD 62.00, Current Price USD 60.29 Stephen Powers
4. 04/26/2022 Hold, Target Price Change USD 64.00, Current Price USD 65.05 Stephen Powers
5. 07/27/2022 Hold, Target Price Change USD 65.00, Current Price USD 63.01 Stephen Powers
6. 10/14/2022 Hold, Target Price Change USD 59.00, Current Price USD 54.98 Stephen Powers
7. 12/06/2022 Hold, Target Price Change USD 62.00, Current Price USD 63.44 Stephen Powers
8. 02/15/2023 Hold, Target Price Change USD 63.00, Current Price USD 59.59 Stephen Powers
9. 03/20/2023 Hold, Target Price Change USD 60.00, Current Price USD 60.60 Stephen Powers
10. 04/10/2023 Hold, Target Price Change USD 61.00, Current Price USD 62.69 Stephen Powers
11. 04/25/2023 Hold, Target Price Change USD 63.00, Current Price USD 63.85 Stephen Powers
12. 10/09/2023 Hold, Target Price Change USD 60.00, Current Price USD 52.88 Stephen Powers
13. 01/02/2024 Hold, Target Price Change USD 62.00, Current Price USD 59.82 Stephen Powers
14. 01/31/2024 Hold, Target Price Change USD 63.00, Current Price USD 59.49 Stephen Powers
15. 05/01/2024 Hold, Target Price Change USD 64.00, Current Price USD 61.93 Stephen Powers
16. 07/24/2024 Hold, Target Price Change USD 65.00, Current Price USD 65.81 Stephen Powers
17. 08/29/2024 Hold, Target Price Change USD 69.00, Current Price USD 72.05 Stephen Powers

Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

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